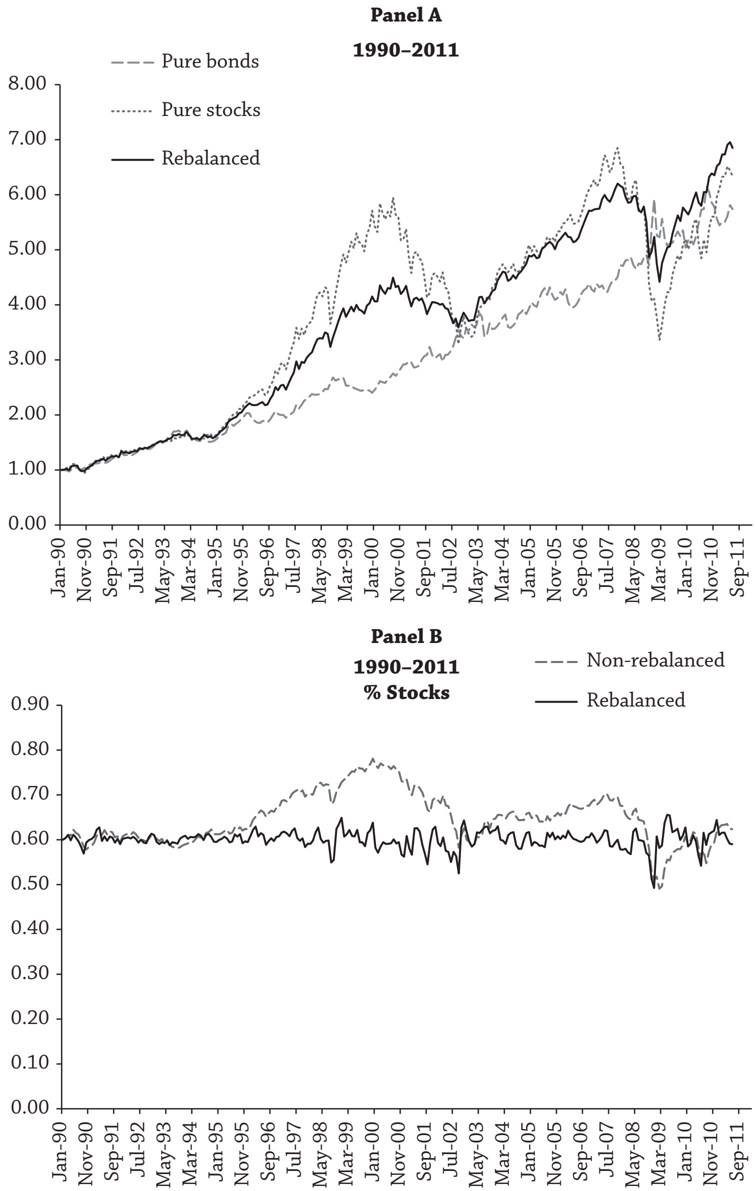

Figure 4.6

Panel B of Figure 4.6 shows the proportion invested in equities. The 60%/40% rebalanced strategy is optimal for the investor as it rebalances the equity position so that the risk of a single asset does not dominate. It also takes advantage of counter-cyclical investing. The buy-and-hold strategy shown in the dashed line loads up on equities, peaking at 2000, just as equities hit the post-bubble